

RISK MANAGEMENT POLICY

Anchorage Capital Fund and its Schemes SEBI Registration No.:

IN/AIF2/21-22/1003

Four Dimensions Advisors Private Limited

(Investment Manager)

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I. BACKGROUND

Anchorage Capital Fund (the ‘Trust’) has been set up as trust originally by way of the indenture of trust dated October 07, 2021 and is registered with the Securities and Exchange Board of India (SEBI) as a Category II Alternative Investment Fund (Category II AIF). The Trust has been registered as a Category II AIF bearing registration number IN/AIF2/21-22/1003 on March 03, 2022. Four Dimensions Advisors Private Limited (the ‘Investment Manager’) is also under the process of setting up a Category III Alternative Investment Fund.

Anchorage Capital Scheme I, Anchorage Capital Scheme II and Anchorage Capital Scheme III (the ‘Funds’ or ‘Anchorage’) are the three schemes launched under the Trust.

Four Dimensions Advisors Private Limited (the ‘Investment Manager’ or the ‘IM’), a private limited company incorporated under the provisions of the Companies Act, 1956 acts as the investment manager of the Funds having its registered office at 209-210 Arcadia Building, 2nd Floor, N.C.P.A Marg, 195, Nariman Point, Mumbai – 400 021.

Mr Rohit Kothari is the Sponsor of the Fund.

The objective and purpose of the Fund is to carry on the activity of a Category II AIF and for this purpose to arrange, make, manage and dispose of investments with the view to providing returns to the Contributors in accordance with Applicable Laws and the Trust Documents. The Fund shall endeavor to provide a superior risk-return profile to Investors by investing in a diversified portfolio of fast-growing early-stage companies across various sectors.

The private placement memorandum of the Fund, Investment Management Agreement, Contribution Agreement(s) and Trust Deed shall collectively be referred to as the “**Fund Documents**”.

II. INTRODUCTION

Risk management is an attempt to identify and manage threats that could severely impact the Trust. Generally, this involves reviewing operations of the Trust, identifying potential threats to the organization and the likelihood of their occurrence, and then taking appropriate actions to address the most likely threats.

It is incumbent on every member of the Investment Manager to understand the risk environment in which the Fund operates and be cognizant of the risks in the day-to-day functioning of the Investment Manager and the Fund.

This Policy provides entity-level risk guidelines encompassing key risk areas across the group such as Investment risk, risk factors related to India, sector specific risks, risks relating to fund’s investment objective, investment policy, investment management and investment terms, regulatory risks, other risks and conflict of interests. It also involves monitoring the risks to which each investment being made by the Fund is subject, and continuously monitoring such risk.

III. KEYS ROLES AND RESPONSIBILITIES

The partners/employees of the Investment Manager will be responsible for ensuring effective and efficient risk management practices.

Their role and responsibilities in this regard, shall *inter alia* include:

- a) Identification, adoption and approval of adequate risk management framework for the Fund/Scheme(s);
- b) Ensure periodical review policy and procedural framework to ensure effective risk identification and mitigation;
- c) Ensure safeguards against conflicts of interests;
- d) To assess and identify appropriate potential risks based on a combination of internal and external information;
- e) To leverage institutional knowledge and foster internal collaboration and consensus on risk identification, assessment, and mitigation; and
- f) To feed the above into the investment planning and strategic prioritization of the Fund/Scheme(s).

IV. POLICY OF RISK MANAGEMENT FRAMEWORK

Investment Manager is responsible for maintaining a sound system of internal control that supports the achievement of policies, aims and objectives while safeguarding the Alternate Investment Funds (AIF) and AIF contributors to which it acts as Investment Manager.

A) Risks impacting the Fund

The risks impacting the Fund and the Investment Manager include the following broad categories:

1. Risk for certain type of investors:

This includes the risk that impacts small / individual investors, overseas investors, institutional investors. The small/retail investors are subject to higher risk with respect to their small investment in the Fund. The overseas investors are required to comply with FDI or FPI rules in respect of their investment in the Fund. An Institutional Investor may be restricted by its statute or governing document under which it is established to refrain from making investments in certain sectors/industries or types of securities. Further, there could be a situation where an Institutional Investor investing a significantly higher amount in the Fund could have superior rights, not otherwise available to other Institutional Investors.

2. Risk for the type of securities the Fund may invest in:

These include the risk related to investment made in Equity and equity linked securities (including securities convertible into equity) as well as debt. If the Fund is unable to uncover all material information to evaluate the potential returns from investing in Equity and equity linked securities of Portfolio entities, the

Fund may not make a fully informed investment decision, and the Fund may lose money on the Fund Investments. Investments in debt securities and instruments with a longer maturity period or duration are subject to greater volatility in comparison to investments in instruments with a shorter maturity period. There are also risks attached to temporary investments by the fund.

3. Risks related to portfolio investments:

This include all types of risks associated with the underlying businesses engaged in by the portfolio companies, risks associated with the nature of the portfolio investments, investment returns, exit by the Fund from the portfolio investments, side letters that maybe entered into between Fund and certain investors, failure of the Fund to raise target corpus, Fund investing with third parties, lack of insurance by the Fund against certain events, change in economic environment, counter party's actions or default with respect to the Fund, change in control of parties in relation to the Fund, managerial role the Fund may play vis-à-vis a portfolio entity, general business and economic risks, interest rate fluctuations, ability of the investee entity to generate adequate cashflows, Epidemics and Other Health Risks. The Fund may assume control positions in some of its Portfolio Companies leading to risks w.r.t. liabilities in relation to business operations. Also, in such case, the fund may lack operating expertise and may have to rely on professionals. Similarly, risks may arise due to holding of minority stake in the portfolio entity and investment in related companies.

4. Risks related to Fund structure:

The risks related to Fund structure include performance risks, risk of stability in various markets, risk in relation to the ability of the Investment Manager to identify and structure investments and divestments, concentration risk, risk associated with reliance on forward looking statements/market data, reliance on the Trustee, Investment Manager and other decision-making committees, relying on third party service providers/intermediaries, default by Investors, restrictions on withdrawal/transfer and in-kind distribution, indemnity and tax obligation of the Investors towards Fund parties, change / change in control of the Sponsor or Investment Manager, taking high-risk investments, risks relating to economic interest of manager parties.

5. Risk In Relation to The Return of Capital Contributions:

This includes risk pertaining to return on capital employed, lack of liquidity in long term investments, hurdle rate of return not being guaranteed returns, risks regarding follow-on investments, reliance on external due diligence and other reports. There can be no assurance that the Fund will meet its investment objectives or will otherwise be able to carry out its investment program successfully, or that the Scheme will be able to provide return of Capital Contributions to the investors. and the preferred return to the investors.

6. Difficulty In Evaluating Fund's Investments:

Several factors, including absence of readily ascertainable market values and limited sources of useful valuation information may make it difficult to value Scheme's investments. In addition, the appraised value of an asset may not always be consistent with, and therefore may be higher or lower than the price at

which the asset could ultimately be sold. Also, the valuation of private equity investments is subjective and the net asset value arrived at by the Investment Manager or an independent auditor may not reflect the true value of the Fund's investments. If the Fund makes investment in security receipts, the asset reconstruction company which acts as the trustee or an asset management company will make the evaluation of the investments in the portfolio company and the Investment Manager may not have any role in such evaluation of investments. There could be dilution of the value of the interests of existing Investors due to entry of investors or increase in capital commitment of existing investors after initial closing date

7. Regulatory Risks:

These risks include risk associated with cancellation/suspension of SEBI certificate etc, risks of uncertainty around the legal framework in which the Fund operates in India and risk of litigation for the Fund, and several other legal and regulatory risks including anti-money laundering regulations

8. General risk factors:

These risks include political, social and economic risk consideration in India, risk related to global financial conditions, bankruptcy of Portfolio Entities, segregation of assets between funds/schemes/trustees not being available in third party suits/regulatory actions with respect to the Fund, limited liquidity, disclosure and accounting practices of portfolio entities, nature and timing of provision of reports, accounting practices in relation to the Fund, Governmental Intervention in Financial Markets.

9. Tax related factors:

The Contributors of the Fund are subject to a number of risks related to tax matters. In particular, the tax laws relevant to the Fund and as set out in 'SECTION XI: LEGAL, REGULATORY, AND TAX CONSIDERATIONS' of the Private Placement Memorandum are subject to change, and tax liabilities could be incurred by Contributors as a result of such changes. The tax consequences of an investment in the Fund are complex, and the full tax impact of an investment in the Fund will depend on circumstances particular to each Contributor and the additional peculiarities associated with activities of each Portfolio Company.

10. Sector specific risk factors:

These risks include a slowdown in economic growth in India, risk of changes in the technologies market. The Fund could be subject to information technology theft or misuse, which could result in third party claims and harm its business, reputation, results and financial condition.

11. Currency risks:

These risks include currency risk arising to offshore Investors and currency risk arising from offshore investment by the Fund.

12. Additional risks:

For a comprehensive look on the risks impacting the Fund and the Investment Manager, please refer to SECTION X: RISK FACTORS of the PPM of the Fund.

B) Risk Management Framework

The objective of the risk management framework is to ensure that the Fund operates within its risk tolerance and risk limits. This is achieved by

- Effective and efficient continuity of operations;
- Safeguarding of assets;
- Preservation and enhancement of reputation;
- Reliability of internal and external reporting;
- Compliance with applicable laws and regulations.

The approach towards the risk management will be as follows:

- 1) The Investment Manager, for the functioning of the Fund/Scheme(s), will adopt adequate tools for mitigating applicable and probable risks and will ensure that regular reports are generated and interactions are conducted with senior personnel of the portfolio entities.
- 2) A list of key tools which will be adopted for adequate risk management and mitigation in the context of making any potential investments shall, inter alia, include:
 - a) Investment across sectors – This will ensure that the risk of underperformance by any particular sector is mitigated.
 - b) Conducting adequate due diligence – It will be mandatory to conduct adequate due diligence based on the circumstances applicable to each investment and the investment size. The objective will be to identify the potential risks associated with various investment opportunities.
 - c) Rigorous investment process – The Investment Committee of respective Scheme(s) will implement appropriate processes for evaluating and approving prospective investments. This will be achieved through improving financial systems, corporate governance, strengthening the management team, as needed and adoption of global best practices.
 - d) Monitoring of investments – The Investment Manager will adopt measures for closely monitoring the performance of the investments to detect any apparent issues at an early stage and take necessary corrective action.

The focus of the risk management framework is on the following key elements, viz.

- Risk Assessment;
- Risk Management;
- Risk Monitoring.

(i) Risk Assessment

Risks are analysed, considering likelihood and impact, as a basis for determining how they should be managed. Risk assessment consists of a detailed study of threats and vulnerability and resultant exposure to various risks.

(ii) Risk Management

In the management of risk, the probability of risk assumption, which may threaten the existence of the Investment Manager, is estimated with available data and information and appropriate risk treatments are worked out in the following areas:

- Economic environment and market conditions including macro-economic conditions;
- Credit crunch;
- Fluctuations in foreign exchange;
- Political environment;
- Change in legal, regulatory and tax regime impacting the Fund;
- Competition;
- Technology environment;
- Revenue concentration;
- Reliance on external consultants;
- Inflation and cost structure;
- Transparency and due diligence of investments;
- Reliance on external consultants while taking investment decisions in the investee company;
- Fraud, embezzlement or other financial wrongdoing in the investee company;
- Act of God, including natural calamities, wars and terror attacks.

The above list is illustrative only and any other information that is material to the basis for any investment by the Fund should be included as a risk factor.

(iii) Risk Monitoring

Once an investment decision is made, the risks are to be continually monitored against the base case version to ensure that risks do not result in negative returns.

The Investment Manager, while making any investment, shall also consider the risk at the investee company level to which the investment of the Fund will be subject.

C) Risk Mitigation Strategy

The Investment Manager recognizes that risk is an integral and unavoidable component of business and is committed to managing the risk in a proactive and effective manner. The Investment Manager believes that risks cannot be eliminated. However, it can be:

- Reduced, by having good internal controls and continuous monitoring;
- Avoided, by not entering into risky businesses;

- Retained, to either avoid the cost of trying to reduce risk or in anticipation of higher profits by taking on more risk, and;
- Shared, by following a middle path between retaining, monitoring and assigning risk.

D) Risk Mitigation Framework

Risk management is an on-going process and post investment, Investment Manager shall monitor the Portfolio Company's progress and adherence to legal and regulatory compliance as well as financial progress on a regular basis.

The following factors would be considered while undertaking risk mitigation and reporting:

1. Investment Risk:

Investment risks are managed by:

- Having detailed investment procedures;

2. Risk to Strategy:

- Managing strategy risk is primarily achieved through strategic planning and implementation processes.
- Ongoing monitoring of budget against actual results;
- Making course corrections.

3. Operational Risk:

Operational risk is the risk of loss, resulting from inadequate or failed internal processes, people and systems or from external events. Operational risk is managed on an on-going basis by:

- Segregation of duties achieved by separating the investing function (undertaking by Investment Manager) from the transaction settlement, recording and reporting of investment activities (undertaken by an outsourced third-party vendor)
- Appropriate operational, legal and taxation due diligence either done by the Investment Manager or relying on due diligence done by the lead investor in the transaction;
- Regular assessment and monitoring of internal controls;
- A robust recruitment and selection process which ensures that the people recruited adhere to strong ethical and professional standards;
- Effective application of policies, procedures and controls;
- Clear delegation of authority;
- Stringent vendor-selection processes;
- Effective budget setting and financial management;
- Stringent disciplinary procedures;
- Having appropriate code of conduct and conflict management policies;

4. Reputation Risk

Reputation risk is managed by constant interaction with all the stakeholders;

5. Technology Risk:

Technology risk is managed by:

- Installing appropriate hardware and software controls such as access controls, firewalls, etc
- Password management systems

6. Structuring-level action items:

At the structuring level, the Investment Manager should identify and mitigate the risk relating to jurisdiction, taxes, regulatory or any other statutory or regulatory matters.

7. Concentration risk at fund level

The Fund will remain sector-agnostic and will invest across sectors to achieve its investment objective of providing superior risk-adjusted returns to the Investors. Moreover, this risk is also taken into consideration by the SEBI Regulations, which binds the Fund as a part of its Regulations into certain investment restrictions. These restrictions are also applied in case of overseas investments made by the Fund. Thus, SEBI together with RBI and FEMA regulations help mitigate the concentration risk at the fund level.

The following are points summarising investment restrictions imposed by SEBI through the Regulations:

- The terms of Co-investment in an investee company by a Manager or Sponsor or co-investor, shall not be more favourable than the terms of investment of the Fund.
- The Fund shall invest not more than twenty-five per cent of the investable funds in an Investee Company directly or through investment in the units of other Alternative Investment Funds.
- The Fund shall not invest except with the approval of seventy five percent of investors by value of their investment in the Fund in -
 - (a) associates; or
 - (b) units of Alternative Investment Funds managed or sponsored by its Manager, Sponsor or associates of its manager or Sponsor
- Un-invested portion of the investable funds and divestment proceeds pending distribution to investors may be invested in liquid mutual funds or bank deposits or other liquid assets of higher quality such as Treasury bills, Tri-Party Repo Dealing and Settlement, Commercial Papers, Certificates of Deposits, etc. till the deployment of funds as per the investment objective or the distribution of the funds to investors as per the terms of the fund documents, as applicable.
- The Fund may also invest in the securities of companies incorporated

outside India subject to such conditions or guidelines that may be stipulated or issued by the Reserve Bank of India and the Board from time to time¹.

- Investment by the Fund in the shares of entities listed on institutional trading platforms after the commencement of Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) (Fourth Amendment) Regulations, 2015 shall be deemed to be investment in 'unlisted securities' for the purpose of these regulations.
- The Fund shall not invest in units of other Alternative Investment Funds.
- The Fund may not borrow funds directly or indirectly and shall not engage in leverage except for meeting temporary funding requirements for not more than thirty days, not more than four occasions in a year and not more than ten percent of the investable funds.
- Notwithstanding the above clause, the Fund may engage in hedging, subject to guidelines as specified by the Board from time to time.
- The Funds may enter into an agreement with the merchant banker to subscribe to the unsubscribed portion of the issue or to receive or deliver securities in the process of market making under Chapter IX of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018.
- The Fund shall be exempt from sub-regulations (1) and (2) of regulation 3 and sub-regulation (1) of regulation 4 of the Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 in respect of investment in companies listed on the SME exchange or SME segment of an exchange pursuant to due diligence of such companies subject to the following conditions:
 - (i) the fund shall disclose any trading in securities pursuant to such due-diligence, within two trading days of such trading, to the stock exchanges where the investee company is listed;
 - (ii) such investment shall be locked in for a period of one year from the date of investment.

8. Sector Specific Risk

To manage the sector specific risks following action may be taken:

- Determination of risk appetite shall be useful in deciding the investment opportunities that are to be taken or identifying the ones that are to be passed.
- With clear risk tolerances established and communicated throughout the organisation by the Investment Manager, management, and risk committee, employees at all levels should be empowered to step forward if they have risk-related concerns.
- The focus areas might undergo a lot of regulatory or technology changes.

¹ SEBI Circulars No. SEBI/VCF/CIR No. 1/98645/2007 dated August 09, 2007, CIR/IMD/DF/7/2015 dated October 01, 2015, SEBI/HO/IMD/DF1/CIR/P/2018/103/2018 dated July 3, 2018, and SEBI/HO/IMD/DF6/CIR/P/2021/565 dated May 21, 2021.

As new relationships with outside parties (including the founders of the Portfolio Companies, vendors, etc) are formed, all the dimensions of risk should be considered and incorporated.

- All the stakeholders of the Fund, inclusive of revenue producing and non-revenue producing support staff, should be responsible for adhering to established risk tolerances. Accountability should be established once the risk appetite has been communicated.

9. Credit risk at fund

Credit risk (or counterparty risk) is the risk of default by the counterparty on its contractual obligations. Investment Manager aims to ensure that credit risk is minimised by detailed deal evaluation that includes rigorous financial, legal and technical due diligence with particular emphasis on:

- Promoter and management track record and credibility including with regard to operating;
- management efficiencies; both formal and informal opinions sought
- In-depth understanding of the regulatory aspects and policies under which the investment will be developed;
- Independent evaluation of a transaction by the Investment Committee of the Fund.

10. Safeguards against conflicts of interest

Following are some of the mitigants which shall be used to address Conflict of Interest.

- decisions taken by the risk management function are based on reliable data, which are subject to an appropriate degree of control by the risk management function, in accordance with the Fund Strategy and Fund Documents;
- Independence of the Investment Committee shall be maintained at all times,
- All conflicted transactions may be referred to a designated person or committee by the IM to resolve conflicts. In case where the designated person is the interested party, he shall recuse themselves from such a meeting and their vote and opinion shall not be considered in such a decision.
- the remuneration of those engaged in the performance of the risk management function reflects the achievement of the objectives linked to the risk management function, independently of the performance of the business areas in which they are engaged;
- the risk management function is represented in the governing body or the supervisory function, where it has been established, at least with the same authority as the investment management function;
- any conflicting duties are properly segregated.

V. RISK MITIGATION/ RISK CONTROL MEASURES ADOPTED BY THE INVESTMENT MANAGER

The Investment Manager may strive to adopt the following measures to mitigate the risks arising out of business operations, liquidity, credit, industry, human resources, legal requirements, etc.

- Improved due diligence procedures;
- Closer scrutiny of risk management activities;
- Better reporting and transparency;
- Defining flow of information to avoid any conflict or communication gap between two or more departments or functions;
- Undertaking effective steps on a continuing basis taking into consideration the various changing scenarios in the market

VI. DEVELOPMENT OF CULTURE TOWARDS RISK MANAGEMENT

As risk is inherent in portfolio investments, the partner of the Investment Manager and other staff must be cautious in relation to managing the risk as a part of the day-to-day activity of the Investment Manager. It is incumbent on every member of the organisation to understand the risk environment in which the organisation and themselves as individuals operate.

Risk can be mitigated using the following broad categories of measures:

1) Organisational measures

At an organisational level, the Investment Manager will adopt the following key measures in order to ensure effective risk management:

- a) Adequate representation of the risk management function and discussion at the Investment Committee and Advisory Board for ensuring that effective policy and procedural framework is adopted;
- b) Adoption of definitive and clear lines of communication for avoiding any conflict or communication gap between two or more functions;
- c) Adequate policy framework with respect to insurance of properties (if any) of the Fund and the Scheme(s) against natural risks, like fire, flood, earthquakes, etc. with periodical review of adequacy, rates and risks covered under professional advice;

2) IT related measures

The Investment Manager will adopt adequate policy and procedural framework for IT and systemic risks including:

- a) Password protection at different levels for ensuring data integrity and security;
- b) Uses of Licensed software and systems;
- c) Measures for ensuring “Data Security” by having various controls such as access restrictions etc.;

3) Legal and regulatory measures

The Investment Manager will adopt the following legal and regulatory measures for effective implementation of risk management:

- a) Vetting of all legal and contractual documents with legal advice.
- b) Finalisation of contracts as per the advice from legal professionals and advocates.
- c) Timely payment of insurance and full coverage of properties of the Investment Manager under insurance.
- d) Internal control systems for proper control on the pooling and investment of funds and to detect any frauds.

4) Operational measures

At an operational level, the Investment Manager will adopt the following key measures:

- a) Ensure constant tracking of changing market dynamics for all the relevant sectors and sharing internal updates on a need basis
- b) Ensure timely submission of reporting to investors and regulators
- c) Ensure appropriate processes are followed for evaluating and approving prospective investments, including due diligence and ongoing monitoring of investments

VII. REVIEW OF POLICY

The policy will be reviewed annually or earlier, if need be, in light of change in regulatory framework or for business or operational reasons. The changes to the policy shall be updated to the Investment Committee on a periodic basis.

VIII. DISCLAIMER CLAUSE

The risks outlined above and in Fund Documents are not exhaustive & does not purport to be a complete enumeration or explanation of the risks involved in an investment in the Fund. Readers are therefore requested to exercise their own judgement in assessing various risks associated with investing in the Fund.

IX. AMENDMENT

The Investment Manager reserves its right to amend or modify this Policy as may be considered appropriate at any time.